In a nutshell, PPLI is:

• An institutionally priced life insurance product designed for affluent families

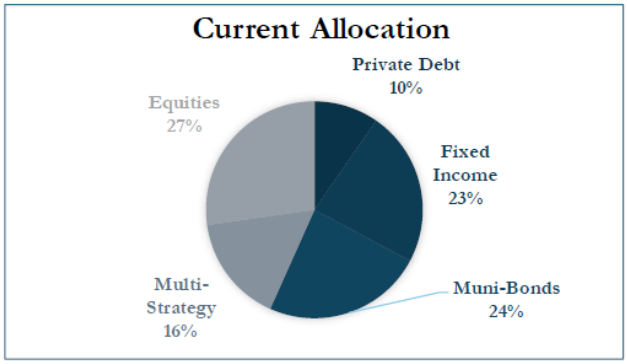
• Can maintain access to all investment choices with your current Investment Advisor

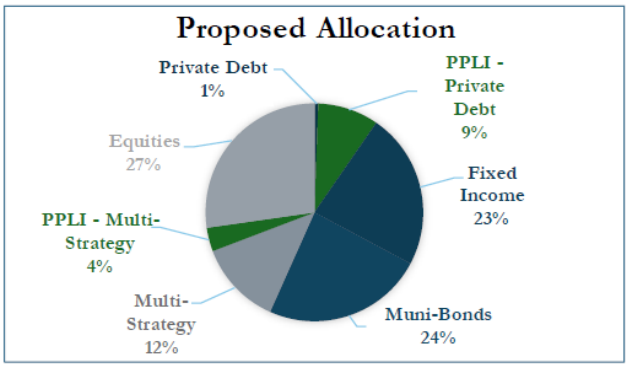
• Eliminates income taxes on your investment portfolio

• Like retail life insurance, it is protected by over 160 years of tax law precedent

One can invest as one does subject to taxation, now within a tax-free environment. Choose from any asset class like: Stocks & bonds, ETFs, Hedge Funds, Private Equity, Venture Capital, Private Credit, Managed Futures, Oil & Gas, REITs, etc.

Example Below: Keeping the investment allocation the same, the case study below details an initial modest investment of $5 million in a brokerage account compared to $5 million in a PPLI product over the client's life-





	Current Allocation	Utilizing PPLI	PPLI Advantage
Gross Weighted Return	7.48%	7.48%	-
Weighted Tax Rate*	40.52%	-	40.52%
Weighted Net ROR	4.45%	6.83%	2.39%
Cost at Life Expectancy (40 Years) (taxes v. insurance costs)	($14,421,442)	($5,248,573)	$9,172,869
Projected Balance at Life Expectancy (40 Years)	$26,169,481	$58,958,088	$32,788,607

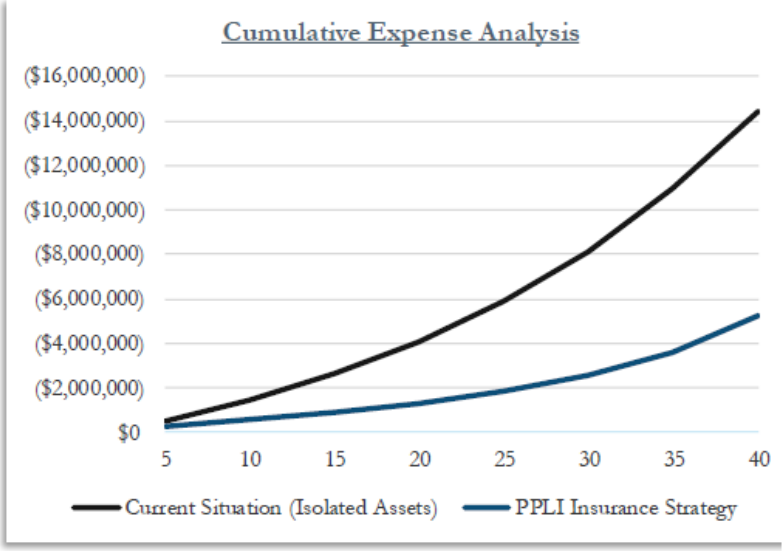
**Weighted Tax Rate was calculated using the California Resident's current portfolio*

Comparing the Expenses of Each Strategy

	Current Situation (Isolated Assets)		PPLI Insurance Strategy		Life Advantage	
Year	Account Value	Cumulative Expense	Account Value	Cumulative Expense	Account Value	Expense
5	$5,707,898	($482,247)	$5,917,900	($269,536)	$210,002	($212,711)
10	$7,094,966	($1,427,169)	$8,131,026	($569,392)	$1,036,060	($857,777)
15	$8,819,104	($2,601,716)	$11,237,294	($920,843)	$2,418,190	($1,680,873)
20	$10,962,222	($4,061,689)	$15,672,269	($1,295,544)	$4,710,047	($2,766,145)
25	$13,626,136	($5,876,446)	$21,856,283	($1,817,590)	$8,230,147	($4,058,856)
30	$16,937,404	($8,132,206)	$30,502,442	($2,530,657)	$13,565,038	($5,601,549)
35	$21,053,339	($10,936,135)	$42,447,128	($3,624,366)	$21,393,789	($7,311,769)
40	$26,169,481	($14,421,442)	$58,958,088	($5,248,573)	$32,788,607	($9,172,869)

- Current Situation expenses consist of:
  - Federal and State Income Tax
  - Long Term Capital Gains Tax
- Insurance Strategy expenses consist of:
  - Premium Load
  - Admin & Policy Fee
  - Rider Charge, if applicable
  - Cost of Insurance (COI)

* This report does not include expenses incurred by investment choices, multipliers, or bonuses. Individual investments and subaccounts carry their own expense for the management of the fund outlined in the prospectus. If canceled, surrender charges may be assessed on the life insurance proceeds.



Foreign-based PPLI has advantages over domestic PPLI. Among the many benefits are lower minimum premium commitments, lower cost of insurance exposure potential, and lower start-up fees and carrying costs. In contrast to foreign PPLI, domestic PPLI is also subject to state-imposed investment restrictions. Of course, as a variable product, PPLI is exposed to the market risks of its investments. Nevertheless, risk can be managed effectively by investment of policy assets in conservative and/or diversified funds.

It is well known that domestic whole and universal life insurance policies provide tax-deferred growth of the policy's cash or investment value. The cash value of a conventional policy (i.e., not variable and not privately placed), however, is part of the general investment fund of an insurance company. Growth of cash value within a whole life insurance policy is generally relatively low, usually a few percent annually. Growth in a fixed index universal life

(IUL) insurance policy is typically greater, but with fewer guarantees. Also, non-variable policies are only as secure as the insurance company. Policy funds are generally commingled with the insurer's general fund. In the United States, insurance carriers are, however, closely regulated by state insurance commissions. As a practical matter, therefore, non-payment of policy values due to insurer insolvency does not occur. Further, U.S. states generally insure premiums to a limited extent.

Private placement life insurance (PPLI), in contrast, is a privately negotiated life insurance contract between insurance carrier and policy owner. PPLI offers several advantages compared to standard policies. Policy funds are held in segregated accounts that theoretically protect the funds against the carrier's creditors. PPLI enables a wider range of investment opportunities managed by a professional investment adviser selected by the policy owner. Finally, policy costs are transparent, negotiable and typically lower than off-the-shelf insurance products. A problem with domestic insurance companies offering PPLI in the U.S., however, is that they typically require minimum insurance premium commitments in excess of $50 million.

Offshore PPLI policies generally perform more favorably than domestic PPLI based in United States. Offshore insurance companies are not subject to strict SEC and state insurance regulations in the U.S., which limit the types of investments available to domestic insurance policies. Further, offshore PPLI policies are not subject to the state premium taxes charged by the various states. Although a policy issued by a foreign insurance carrier may be subjected to U.S. excise tax, this is balanced by not being subject to the federal deferred acquisition cost (DAC) tax. One of the major benefits of offshore PPLI is that it is offshore, meaning that the offshore life insurance carrier can be selected so that it is not subject to the jurisdiction of U.S. courts.